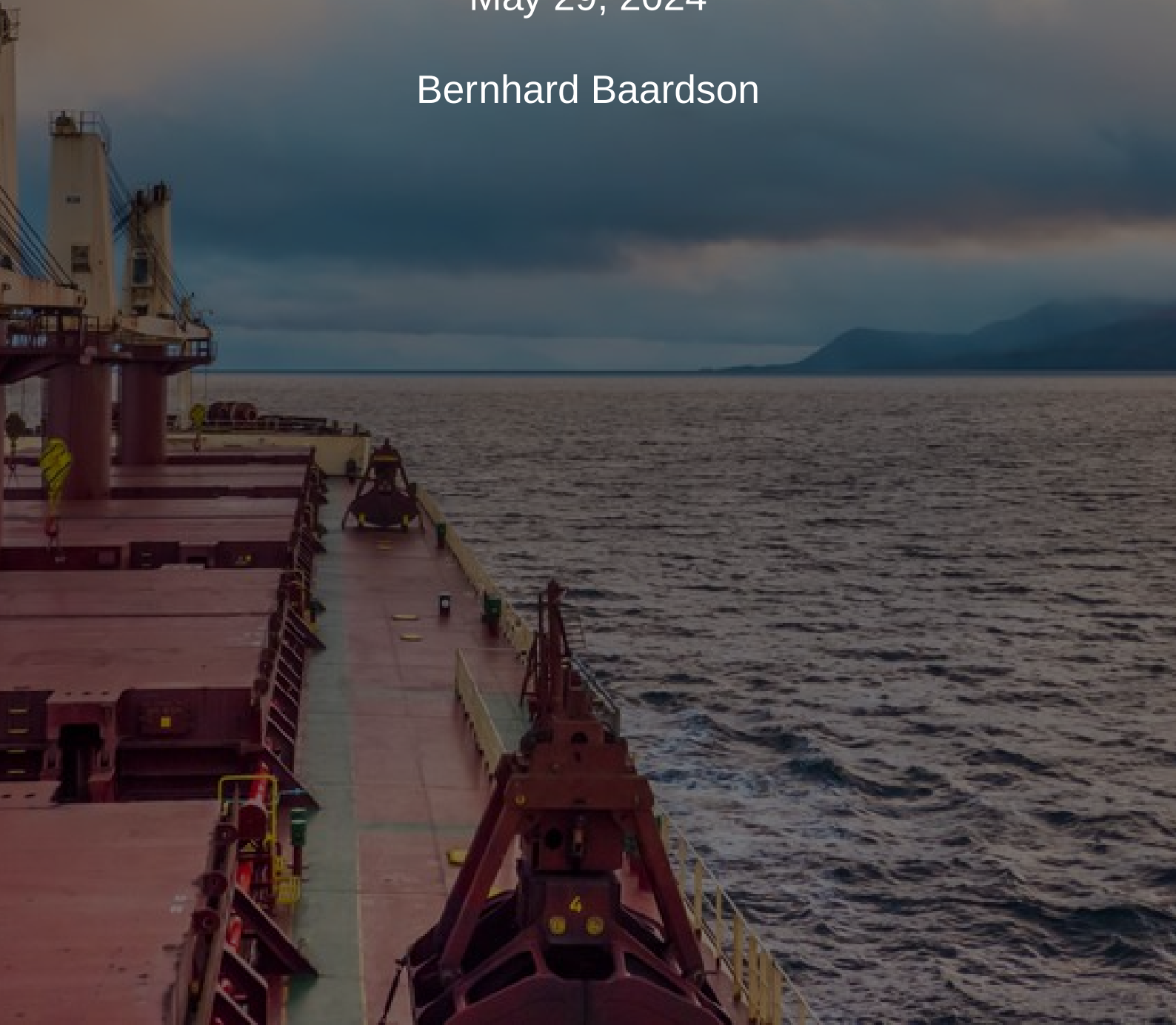


Fearnleys Dry Bulk Market Outlook

May 29, 2024

Bernhard Baardson



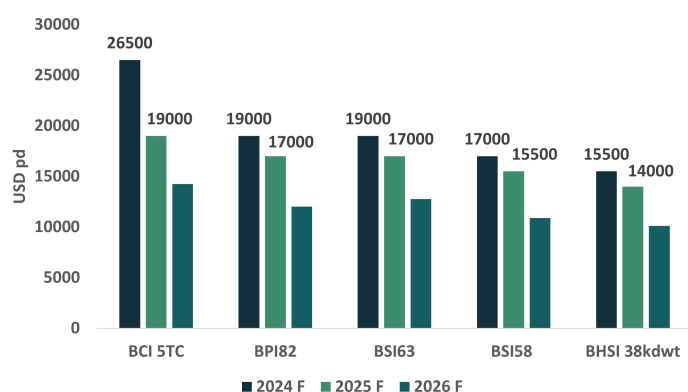
SUMMARY AND OUTLOOK

Year-to-date, the Baltic Dry Index have averaged 55% higher than the same period last year, so far in line with our general view that 2024 would be an "upcycle" year and that a 50% or more increase is normal to see during such years. The upturn has primarily been driven by the Capesize segment, with the BCI5TC up 93% year on year. The Panamax 5TC, Supramax 10TC and the Handysize 7TC are up by 30%, 26.5% and 20%, respectively. We believe the year on year percentage increases will rise further during the coming three months for all segments, as we expect a much stronger summer than last year. We base that viewpoint on leading indicators like industrial metals prices, iron ore prices, steel prices and the OECD diffusion index. Additionally, fundamental data is more firmly positive than last year, as total ton-time growth averaged 1.9% the first four months of 2023 versus 6.4% in 2024. With all this considered, it is very hard to expect anything else than strong fundamentals for the remainder of 2024, and higher earnings averages during the second half of the year than the first.

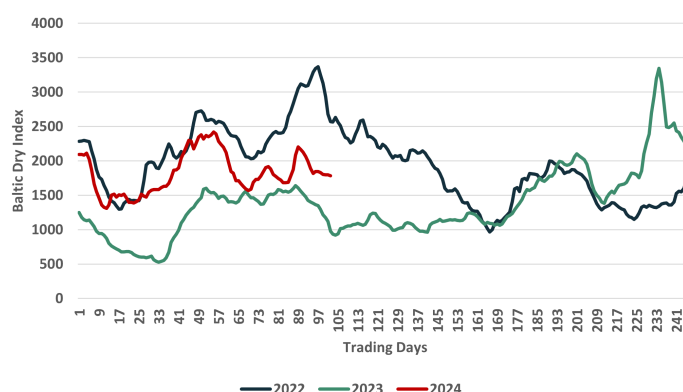
Next year, we see several downside risks emerging from the second half of the year onward, likely translating into slightly lower earnings averages in 2025 than in 2024. We expect a more bearish year in 2026, but only if the indicators we rely on for our view of a weaker 2025 continues to worsen over the coming quarters. Regarding asset values, we expect little change over the next year. Prices are too high to expect much upside, notwithstanding our bullish view on earnings, whereas downside should be limited by the tight yard capacity and upwards pressure on newbuilding prices.

All in all, we maintain our general view of a bullish 2024, a slightly lower market in 2025, and a more bearish 2026.

Earnings Forecasts



BDI by Year



Baltic Exchange, Fearnleys

SUPPLY OUTLOOK

Total fleet statistics, year to date 2024.

Deliveries: 14.2 million DWT
 Scrapping: 1.5 million DWT
 Year on Year Fleet Growth: 3.0%

Fleet statistics per segment.

Handysize

Deliveries: 2.1 million DWT
 Scrapping: 0.5 million DWT
 Year on Year Fleet Growth: 2.2%

Supramax/Ultramax

Deliveries: 4.2 million DWT
 Scrapping: 0
 Year on Year Fleet Growth: 4.5%

Panamax/Kamsarmax

Deliveries: 3.7 million DWT
 Scrapping: 0.5 million DWT
 Year on Year Fleet Growth: 3.2%

Capesize/Newcastlemax

Deliveries: 4.2 million DWT
 Scrapping: 0.5 million DWT
 Year on Year Fleet Growth: 2.9%

Orderbook to Existing Fleet Ratios (in DWT terms)

Total Fleet:	9.1%
VLOC:	3.7%
Capesize/Newcastlemax:	5.6%
Panamax/Kamsarmax:	10.2%
Supramax/Ultramax:	11.0%
Handysize 25-50kdwt	9.2%

Total fleet growth estimates

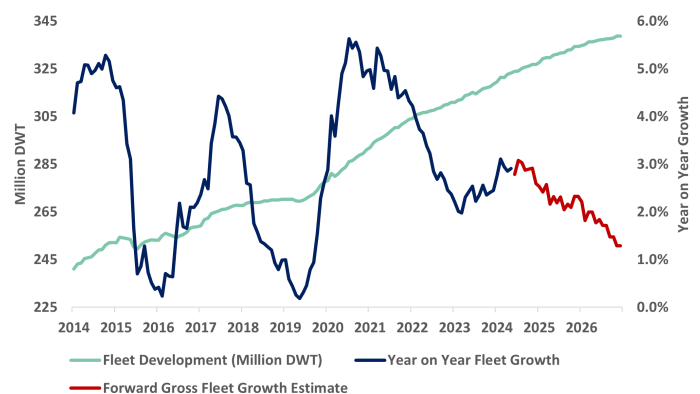
2024: About 3.0%
 2025: About 3.0%
 2026: About 2.0%

Fleet Growth and Forward Gross Estimates

Total Fleet Growth Including Estimate



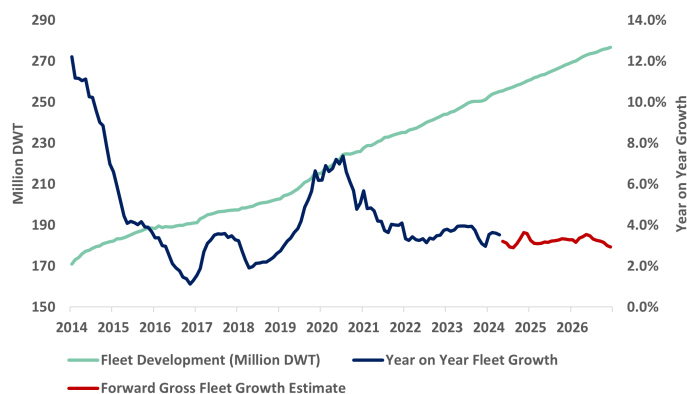
Cape/Newc Fleet Growth Including Estimate



VLOC Fleet Growth Including Estimate



Panamax/Kamsarmax Fleet Growth Including Estimate



Supramax/Ultramax Fleet Growth Including Estimate



Handysize Fleet Growth Including Estimate



IHS, Fearnleys

PERIOD RATES AND ASSET VALUES

We reiterate our viewpoints given in our previous report, namely that there is likely to be little change to second hand values the next year to year and a half. Continued upwards pressure on newbuilding prices, long lead time on delivery and solid market earnings is likely to prevent prices from falling. However, price levels are too high to expect much, if any, upside going forward either. For Kamsarmaxes down to Handysizes, current prices puts required earnings in the high teens, and that is with the assumption that one is able to eventually sell the vessel at the current curve.

The below charts shows 1 year time charter rates and spot market earnings against asset values. We believe the following adjustments have to be made to either earnings or values in order to bring the spread between earnings and values closer to historical levels (for Japanese tonnage):

Handysize: 1 year time charter rates either have to rise above 15.000 USD pd, or the 10 year old value have to fall to around 17 million USD.

Supramax: 1 year time charter rates either have to rise to around 19.000 USD pd, or the 10 year old value have to fall below 20 million USD.

Kamsarmax: 1 year time charter rates either have to rise above 20.000 USD pd, or the 10 year old value have to fall to 23-24 million USD.

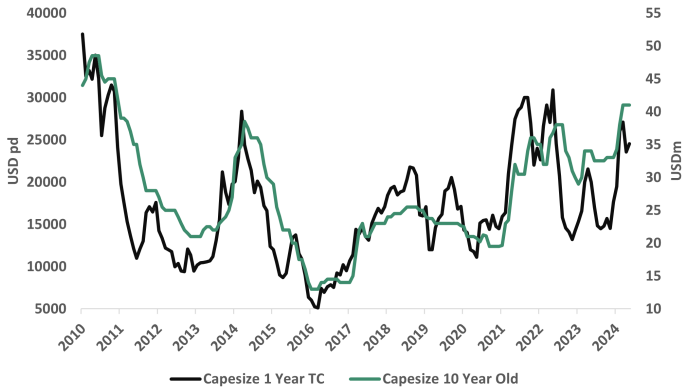
For Capesizes, we assess the spread between earnings and asset values as fair basis historical correlations.

We believe 1 year time charter rates will make year-to-date highs for all segments during the second half of this year.

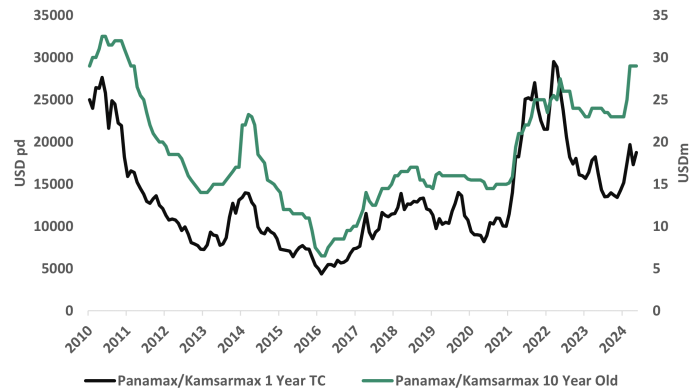
This will serve to close the spreads somewhat for the small and mid-sized segments, and leave the potential for a bit further upside in Capesize values.

Asset Values vs Period Rates

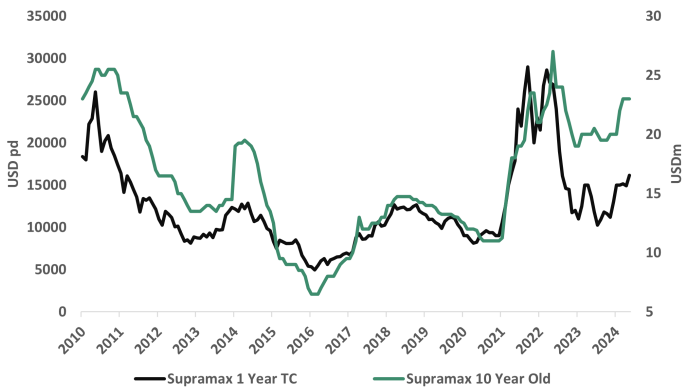
Capesize 1 Year TC vs Capesize 10 Year Old



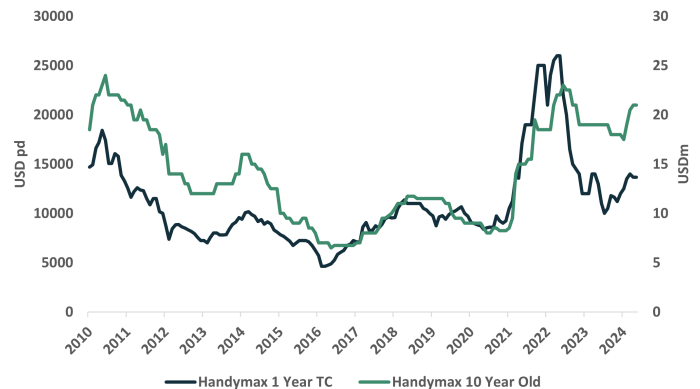
Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old



Supramax 1 Year TC vs Supramax 10 Year Old



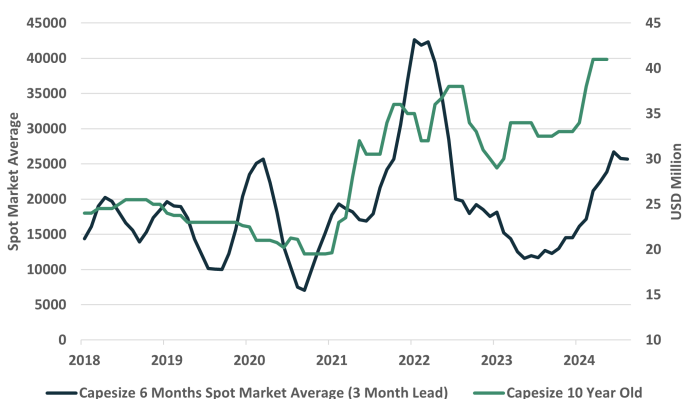
Handysize 1 Year TC vs Handysize 10 Year Old



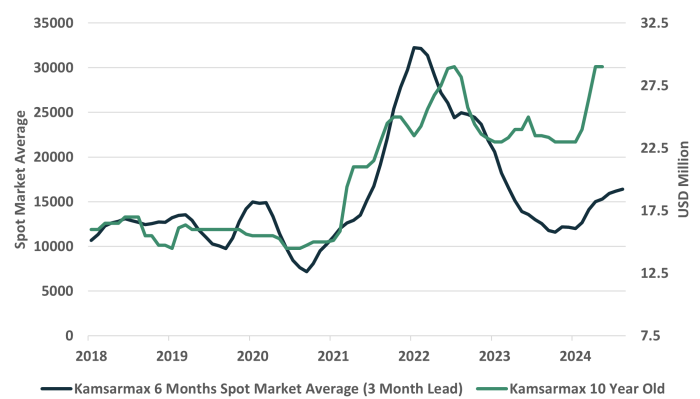
Fearnleys

Asset Values vs Spot Earnings Averages

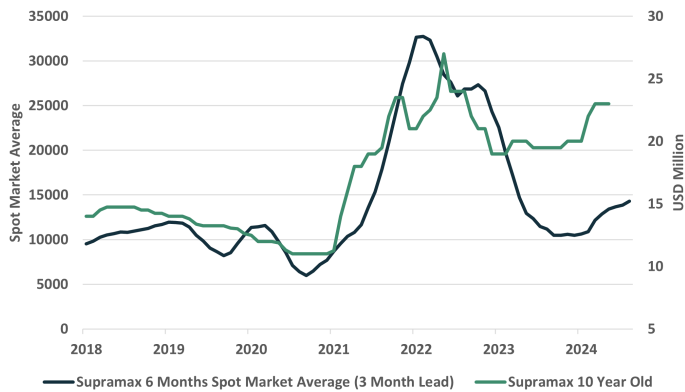
Capesize 6 Months Spot Market Average (Moved 3 Months Forward) vs Capesize 10 Year Old



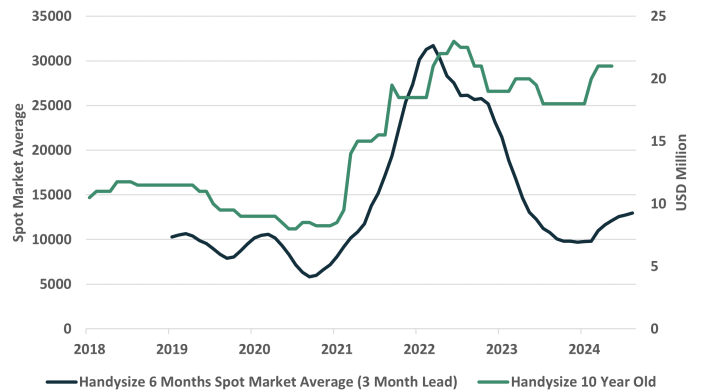
Kamsarmax 6 Months Spot Market Average (Moved 3 Months Forward) vs Kamsarmax 10 Year Old



Supramax 6 Months Spot Market Average (Moved 3 Months Forward) vs Supramax 10 Year Old



Handysize 6 Months Spot Market Average (Moved 3 Months Forward) vs Handysize 10 Year Old

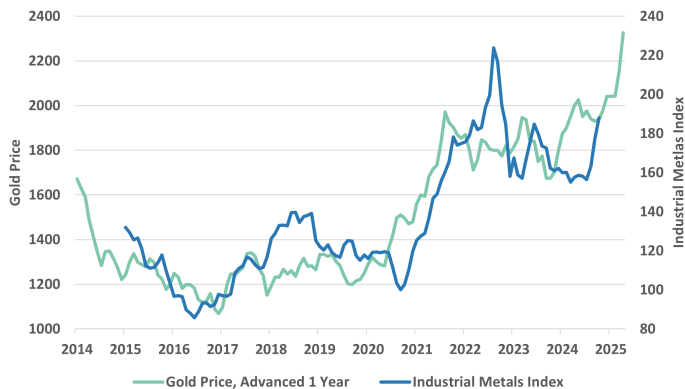


Baltic Exchange, Fearnleys

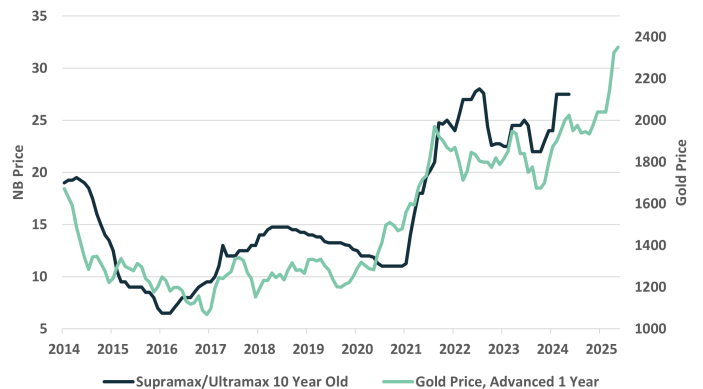
Asset Values vs Commodity Prices

The below chart displays the close correlation between commodity prices and dry bulk asset values. Rising inflation is always supportive of values, which is shown by the charts plotting the price of gold or industrial metals against the price of a 10-year old Ultramax. The gold price often has a 1-year lead on values, and is suggesting support for values until mid next year.

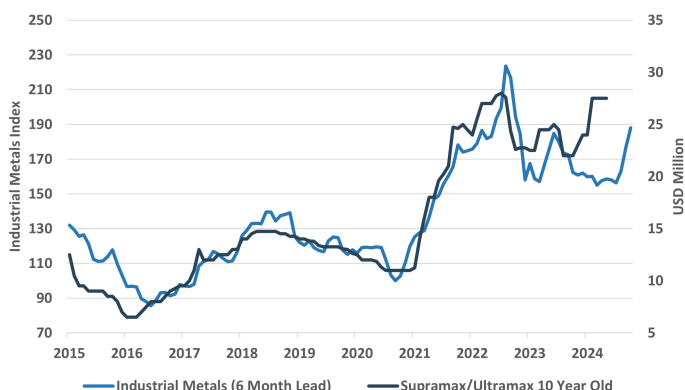
Gold Price (Moved Forward 1 Year) vs Industrial Metals Price Index



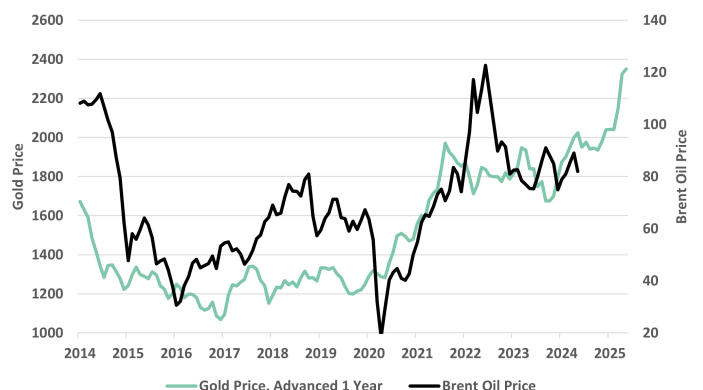
Gold Price (Moved Forward 1 Year) vs Supramax/Ultramax 10 Year Old



Industrial Metals Price Index (Moved Forward 6 Months) vs Supramax/Ultramax 10 Year Old



Gold Price (Moved Forward 1 Year) vs Brent Oil Price



*S&P Global, FRED, Fearnleys*

TRADE FLOWS

Shipment volume growth remains firmly above supply growth. Positive growth has been seen for all commodity groups, except coal, which has been weighed down heavily by a 22% drop in Russian exports. Atlantic shipment growth have been higher than Pacific shipment growth, giving an added boost to ton-miles for Capesizes and Panamaxs especially. Demand remains weak in Europe, but also in Japan, Korea and Taiwan. The weakness in European demand is probably the main reason why there has not been big spikes in the North Atlantic markets, which normally happens when overall fundamentals are as tight as now.

Year on Year Trade Flow Statistics Through May (Preliminary Estimates)

Iron Ore

Exports

Australia: 1.5%
Brazil: 11.4%
Canada: 2.6%
India: 13.4%
South Africa: 1.7%

Total Exports: 5.2%

Imports

China: 4.8%
World ex-China: 3.4%

Coal

Exports

Australia: 2.2%
Colombia: 15.6%
Indonesia: 4.9%
Russia: -22.3%
South Africa: -7.6%
USA: -1.3%

Total Exports: -1.5%

Imports

China: 6.8%
India: 9.4%
South East Asia: 21%
Europe and Med: -29%
South America: -13.5%
Japan: -4.9%

Korea: -3.0%
Taiwan: -3.8%

Grains

Total Exports: 4.8%
Brazil: -5.3%
Argentina: 89.5%

Total Imports: 5.7%
China Imports: 8.5%
World ex-China Imports: 4.5%

Minor Bulks

Breakbulk: 2.7%
Fertilizers: 11.3%
Steels: 18.4%
Iron Products: 11.7%
Pellets Group: 19.5%
Other Minor Bulks: 0.1%
Bauxite: 0.1%
Total Minor Bulks: 3.5%

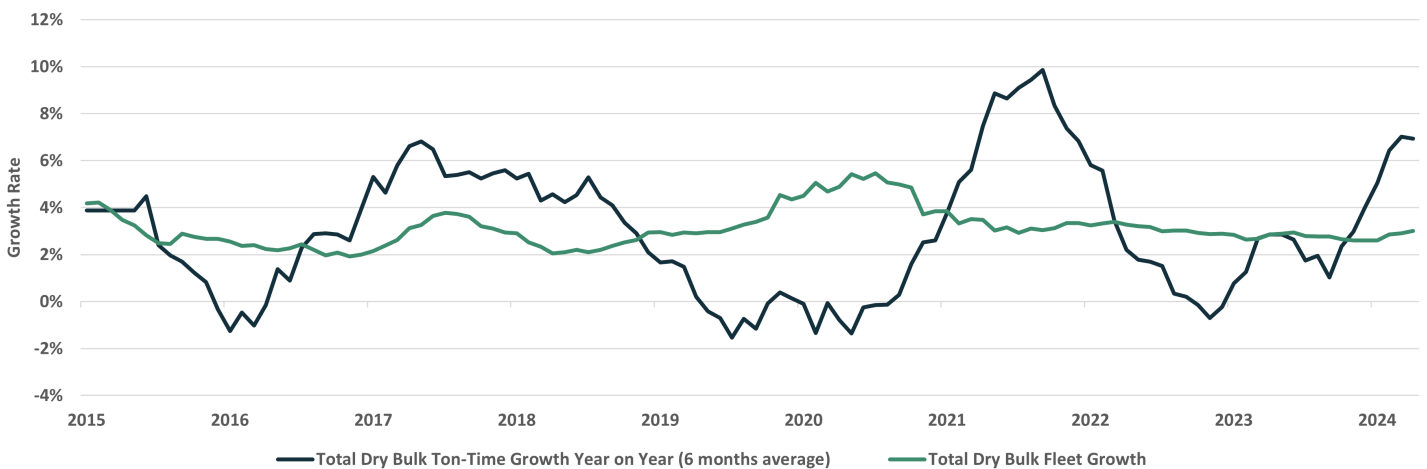
Total Atlantic Exports Growth: 5.7%

Total Pacific Exports Growth: 2.7%

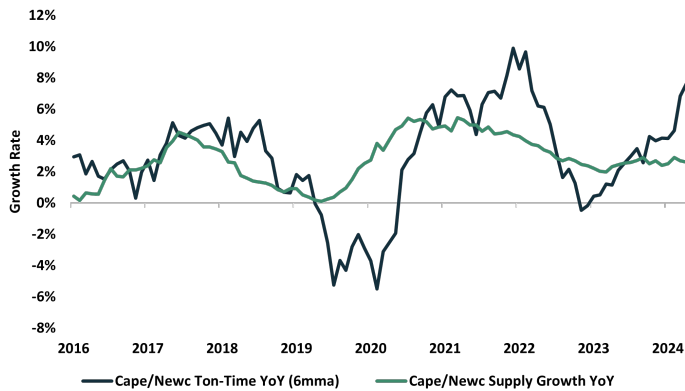
Total Exports Growth: 4.8%

Total Supply Growth: 3.0%

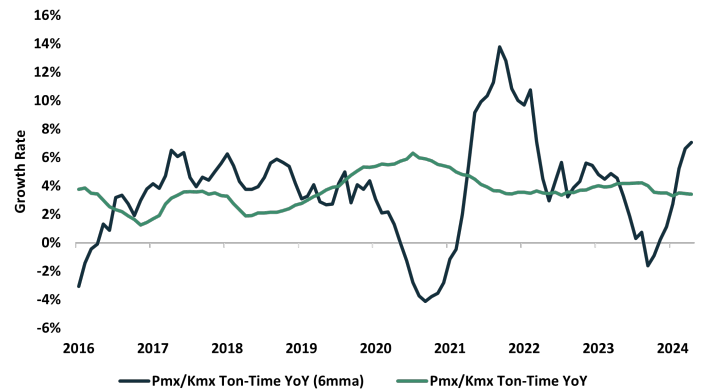
Total Ton-Time Growth vs Supply Growth



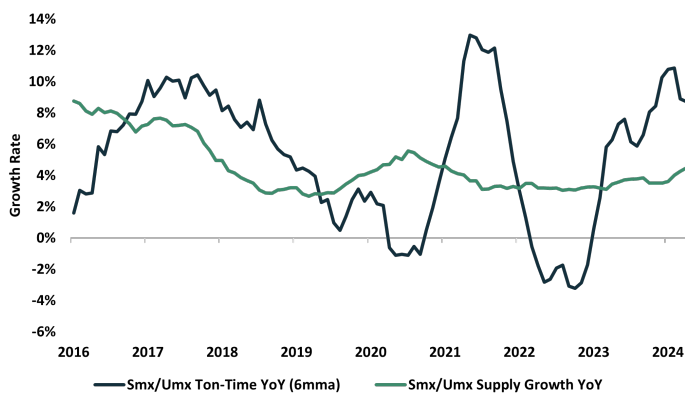
Capesize/Newcastlemax Ton-Time Growth vs Supply Growth



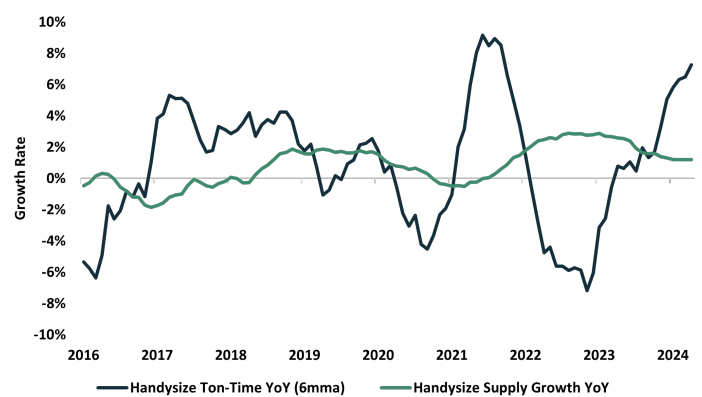
Panamax/Kamsarmax Ton-Time Growth vs Supply Growth



Supramax/Ultramax Ton-Time Growth vs Supply Growth



Handysize Ton-Time Growth vs Supply Growth



MACRO ECONOMIC OUTLOOK

As gone through in our monthly reports over the past 6 months, the global economy has entered an upcycle. Various indices published by the OECD and S&P Global confirms this, and as usual during economic upcycles, stock markets, commodity prices and dry bulk markets are significantly higher than the previous year. Notwithstanding this, there is not the same broad-based strength this year as for example through 2021 or 2017. Manufacturing growth in Europe is still largely absent, probably due to the ongoing war in Ukraine and lingering inflation problems. The Netherlands manufacturing PMI did return to growth at the latest reading in April, however.

Further, the manufacturing recovery in the United States lost some momentum in April, with the PMI barely remaining in expansionary territory. That the cyclical upswing in Europe and the US remain relatively weak compared to in Asia and emerging markets is probably why the dry bulk market in the North Atlantic have been relatively lower than other regions so far this year. The high market levels seen in the Pacific this year usually causes the North Atlantic markets to spike above Pacific levels for a few weeks, but there has been no such squeezes this year.

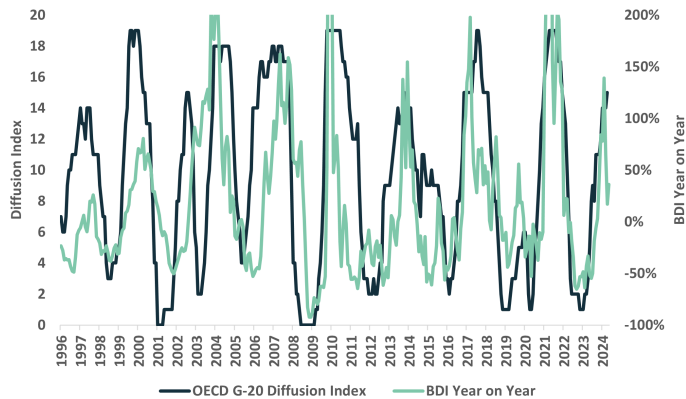
Though the cyclical upswing is stronger in Asia than in Europe and the US, factors like China's property sector and a very weak Japanese Yen are weighing on growth in that region. China's steel and iron ore sector is weaker than last year as infrastructure and manufacturing growth cannot counter-act weakness in the property sector. In April, the country's total social financing growth went negative for the first time in at least twenty years, despite a host of stimulus measures undertaken by the government since mid 2022.

This most likely means that China's year on year dry bulk import growth will continue to trend downwards, and perhaps even go negative by the end of this year. The bottom left chart displays that China's dry bulk import growth leads the global economic cycle by about one year, so if China's import growth turns negative by the end of this year it would strongly indicate that the economic cycle and therefore the dry bulk market cycle will start turning downwards from Q3 2025 onwards.

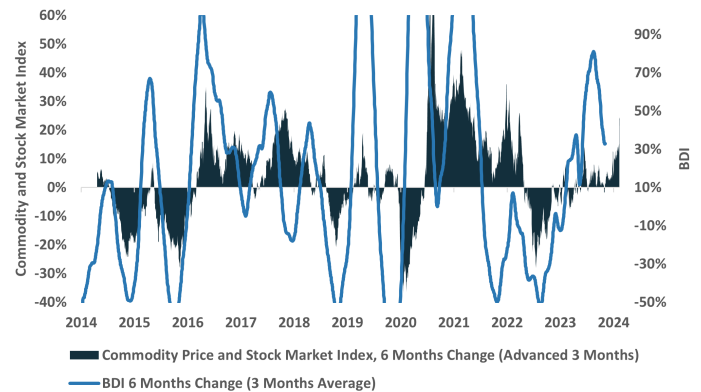
The bottom right chart also points towards a similar development. The preceding 18 months change of energy prices usually leads the economic cycle by 18 months, and this tells us that the positive boost the global economy has got from dropping inflation rates will last until mid-2025, but start to wane after that. As shown in the asset values and period rates section of this report, oil prices usually lags gold prices by about 1 year. Should this correlation continue to hold, oil prices will go up significantly over the next year, which in turn would be a bearish indication for late 2025 and all of 2026.

Before that period, fundamentals should be strong, however. It is likely that earnings will average higher during the second half of this year than the first, as pointed to by the economic growth index lead shown on the top right, the OECD diffusion index on the top left, as well as market seasonality.

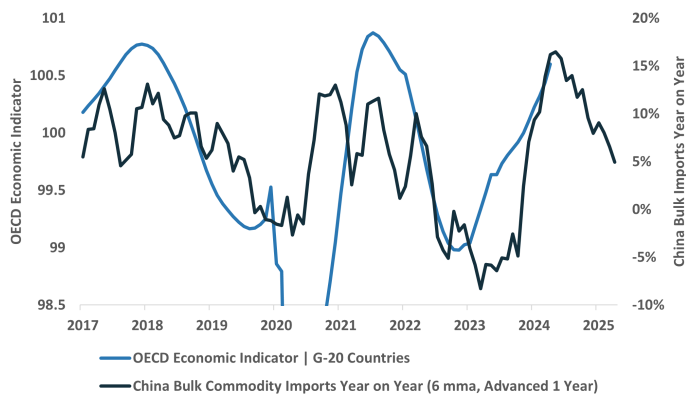
OECD Diffusion Index vs Baltic Dry Index Year on Year Change



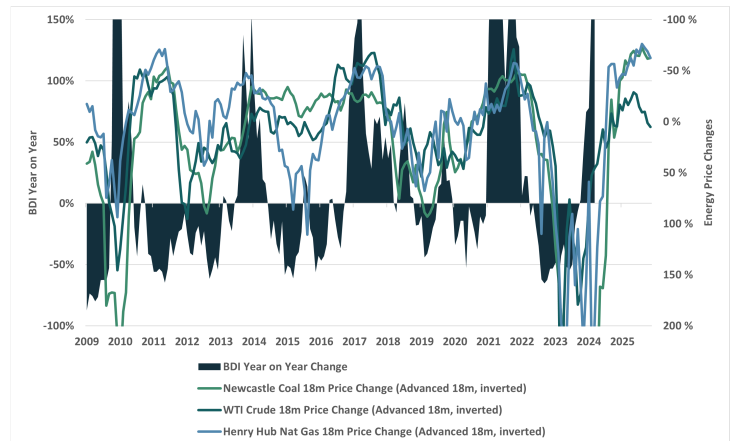
Economic Growth Index (Moved Forward 3 Months) vs BDI 6 Months Average



China Bulk Commodity Imports Growth (Moved 1 Year Forward) vs OECD Economic Indicator for G-20 Countries



Coal, Gas and Oil 18 Months Change (Moved 18 Months Forward) vs Baltic Dry Index Year on Year



FRED, OECD, S&P Global, AxsMarine, Baltic Exchange



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